

SECTION A: (30 MARKS): MULTIPLE CHOICE

Instructions: All questions carry one mark each. Answer all questions in this section. Answer by indicating your choice on the answer sheet provided.

1. A firm has to pay MK20 per unit royalty to the inventor of a device which it manufactures and sells. How would the royalty charge be classified in the firm's accounts?
A. Selling expense
B. Direct expense
C. Production overhead
☒ D. Administration overhead
2. Which of the following would be classified as indirect labour?
A. Assembly workers in a company manufacturing television
☒ B. Factory cleaning staff
C. Plasterers in a construction company
D. A consultant in a firm of management consultants
3. A manufacturing firm is very busy and overtime is being worked. How would the amount of overtime premium contained in direct wages normally be classified?
A. Part of prime cost
B. Factory overheads
☒ C. Direct labor cost
D. Administration overheads
4. Which of the following is the manager of a profit center likely to have control?
☒ A. Selling prices
B. Controllable costs
C. Apportioned head office
D. Capital investment in the center
5. Which of the following statements about qualities of good information is untrue?
A. It should be relevant for its purposes
B. It should be communicated to the right person
C. It should be completely accurate
☒ D. It should be provided whatever the cost.
6. The sales manager has prepared a manpower plan to ensure that sales quotas for the forthcoming year are achieved. This is an example of what type of planning?
A. Strategic planning
B. Tactical planning
☒ C. Operational planning
D. Corporate planning

Use this to answer questions 16 and 19

CCC confectionery Limited is a company involved in production of cakes. In 2024, the company collected the following cost data:

WEEK	NUMBER OF CAKES	TOTAL COST (MK)
1	1000	20,000
2	2000	30,000
3	3000	40,000
4	4000	50,000
5	5000	60,000
6	6000	70,000

16. Calculate the variable cost per unit?

- A. MK30.
- B. MK20.
- ☒ C. MK10.
- D. MK40.

17. Calculate the fixed cost?

- A. MK11,000.
- ☒ B. MK10,000.
- C. MK9,000.
- D. MK12,000.

18. Deduce the total cost function for CCC confectionery?

- A. $TC = 10,000 + 30X$
- ☒ B. $TC = 10,000 + 10X$
- C. $TC = 9,000 + 20X$
- D. $TC = 12,000 + 40X$

19. Calculate the total cost of producing 10,000 cakes.

- ☒ A. MK90,000
- B. MK100,000
- C. MK85,000
- D. MK95,000

20. What are the reasons behind controlling inventory levels in an organization?

- i. Holding costs of inventory may be expensive.
- ii. Production will be disrupted if we run out of raw materials.
- iii. Unused inventory with a short shelf life may incur unnecessary expenses.

25. Which remuneration method can be calculated by the following formula:
 $Wages = Units\ produced \times Rate\ of\ pay\ per\ unit.$

- ☒ A. Piecework schemes
- B. Bonus scheme
- C. Time work scheme
- D. None of the above

26. Which of the following is not correct?

- ☒ A. Cost accounting can be used for inventory valuation to meet the requirements of internal reporting only.
- B. Management accounting provides appropriate information for decision making, planning, control and performance evaluation.
- C. Routine information can be used for both short-term and long-run decisions.
- D. Financial accounting information can be used for internal reporting purposes.

27. Which one is not a way of raising production levels.

- A. Working overtime
- B. Hiring extra staff
- C. Sub-contracting some work to an outside firm
- ☒ D. Laying off staff.

28. Responsibilities of the payroll department include the following _____.

- i. Preparation of the payroll and payment of wages.
 - ii. Maintenance of employee records.
 - iii. Summarizing wages cost for each cost Centre.
 - iv. Summarizing the hours worked for each cost Centre.
- A. (i) and (ii)
 - B. (ii) and (iii)
 - ☒ C. (i), (ii), (iii), and (iv)
 - D. (iii) and (iv)

29. A company's wage rate is MK800 per hour and a basic week is 40 hours. If an employee works for 44 hours and overtime is charged at the rate per hour and half, calculate the overtime premium.

- A. MK1500.
- ☒ B. MK1600.
- C. MK1700.
- D. MK1800.

30. Methods of measuring labor activity include _____.

- A. Production.
- B. Productivity.
- ☒ C. Production and Productivity.
- D. Man hours.

SECTION B (10 MARKS): TRUE OR FALSE QUESTIONS.

Instructions: Answer all questions in this section. Each question carries 1 mark. Indicate whether the statement in this section is true or false by indicating **A** for true and **B** for false.

31. Where materials, having been issued to one job or cost centre, are later transferred to a different job or cost centre, without first being returned to stores, a materials transfer note should be raised. **T**
32. Materials can not only be issued against a materials/stores requisition. **F**
33. Cost accounting is that part of accounting which covers the classification and recording of actual transactions of an entity in monetary terms in accordance with established concepts, principles, accounting standards and legal requirements and presents as accurate a view as possible of the effect of those transactions over a period of time and at the end of that time. **F**
34. All businesses have to make decisions, many of which are short term like whether a component should be made or bought from an outside supplier, pricing and eliminating loss making activities. **T**
35. Standard hour of production is a concept used in standard costing, and means the number of units that can be produced by one worker working in the standard way at the standard rate for one hour. **T**
36. Improved productivity is an important means of reducing total unit costs. **T**
37. If an employee works for more hours than the basic daily requirement, he may be entitled to an overtime payment. Hours of overtime are usually paid at a normal rate. **F**
38. Bonus schemes were introduced to compensate workers paid under a time-based system for their inability to increase earnings by working more efficiently. **T**
39. A high day-rate system is a system where employees are paid a high hourly wage rate in the expectation that they will work more efficiently than similar employees on a lower hourly rate in a different company. **T**
40. An increase in production without an increase in productivity will not reduce unit costs. **T**

SECTION C (20 MARKS): OBJECTIVE QUESTIONS.

Instruction: Answer all questions on the answer sheet provided.

41. What are the four possible consequences of a failure of control over ordering and receipt of materials? **(5 Marks)**

42. A cost coding system can be applied to make it easier to manage the cost data, both in manual systems and in computerised systems. Discuss any three features of good coding system. (5 Marks)

43. With an example explain cost centers and cost units in hospitals. (5 Marks)

44. Explain four main differences between cost accounting and financial accounting. (5 Marks)

SECTION D (MARKS): ESSAY QUESTIONS AND CALCULATIONS

Instructions: There are three questions in this section from which you should answer two Questions. *Question 45 is compulsory*, then answer *any other one question*.

45. a) Chisoh is paid K500 for each towel she weaves, but she is guaranteed a minimum wage of K60,000 for a 40-hour week. In a series of four weeks, she makes 100, 120, 140 and 160 towels.

Required

Calculate her pay each week, and the conversion cost per towel if production overhead is added at the rate of K2500 per direct labor hour. (10 Marks)

b) Briefly explain the impact of automation in manufacturing industries. (10 Marks)

46. a) Discuss any three labour remuneration methods. (8 Marks)

b) The costs of labour turnover can be large and management should attempt to keep labour turnover as low as possible so as to minimise these costs. Discuss the replacement costs and preventative costs of labour turn over. (12 marks)

47. a) Describe the four functions of a manager. (10 Marks)

b) Briefly explain the four features of good management information. (10 marks)

END OF QUESTION PAPER

39. Standard hour of production is a concept used in standard costing, and means the number of units that can be produced by one worker working in the standard way at the standard rate for one hour.

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SECTION C (10 MARKS): OBJECTIVE QUESTIONS.

Instruction: Answer all questions on the answer sheet provided.

41. What are the four possible consequences of a failure of control over ordering and receipt of materials? (5 Marks)

42. Discuss time based remuneration scheme. (5 Marks)

43. Explain the ABC inventory management technique. (5 Marks)

44. List any five ways of preventing high labor turnover in organizations. (5 Marks)

SECTION D (MARKS): ESSAY QUESTIONS AND CALCULATIONS

Instructions: There are three questions in this section from which you should answer two Questions. Question 45 is compulsory, then answer any other one question.

45. Rake Company has an inventory management policy which involves ordering 60,000 units when the inventory level falls to 18,000 units. Forecast demand to meet production requirements during the next year is 360,000 units. Orders are received two weeks after being placed with the supplier. What is the average inventory level? Assuming a 50-week year and that demand is constant throughout the year. (20 marks)

46. As a manager in KRC corporation, discuss the decision making process, and how cost accounting information may aid in valid decision making. (20 Marks)

47. With aid of diagrams explain the different forms of cost behavior. (20 Marks)

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Review Questions

1. Explain any four documents used in the ordering, Receiving and issuing of materials in manufacturing entities.
2. What are the forms of inventory that are available in manufacturing companies.
3. Discuss periodic and continuous stock taking.
4. Discuss the main objectives behind inventory control
5. Describe the following inventory levels
 - (a) Re-order level.
 - (b) Maximum level.
 - (c) Minimum level.
 - (d) Buffer/safety inventory level.
6. Discuss any two techniques of managing inventory.